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State of Social Protection Report 2025

The 2-Billion-Person Challenge

WORLD BANK GROUP
Social Protection & Labor

Social protection works

Directly, by giving them cash- or in-kind support, such as a minimum income, a pension, or food

Long term, through social services, employment programs, and economic inclusion

- These programs help people access better jobs and become more self-reliant

Social protection works

The first step on the ladder of opportunity

Prevents poverty and income loss

On average, **social assistance transfers help reduce poverty by 11% and extreme poverty by 37%**

- World Bank, 2018

Protects people from shocks and transitions

After droughts and other shocks, beneficiaries in the Sahel **avoided a 24% drop in consumption** and were **25% less likely to reduce health and education spending**

- World Bank, 2024

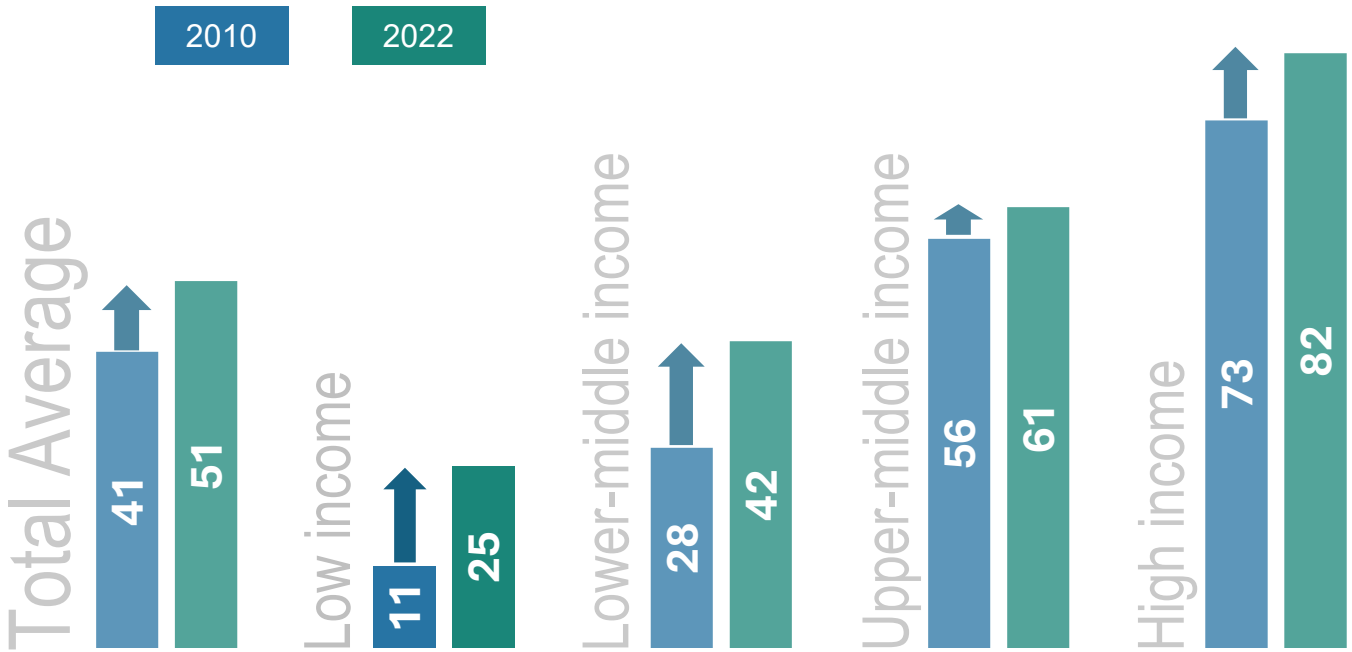
Promotes better employment

Government economic inclusion programs from Afghanistan to Niger to Zambia **increase income or business profits by up to 45%**

- Arevalo-Sanchez et al, 2024

The poor in low-income and middle-income countries saw unprecedented progress in the last decade

Coverage has more than **doubled** in low-income countries but remains low



Yet, 2 billion people in low- and middle-income countries remain uncovered or inadequately covered

Social protection beneficiaries
3.3 billion people

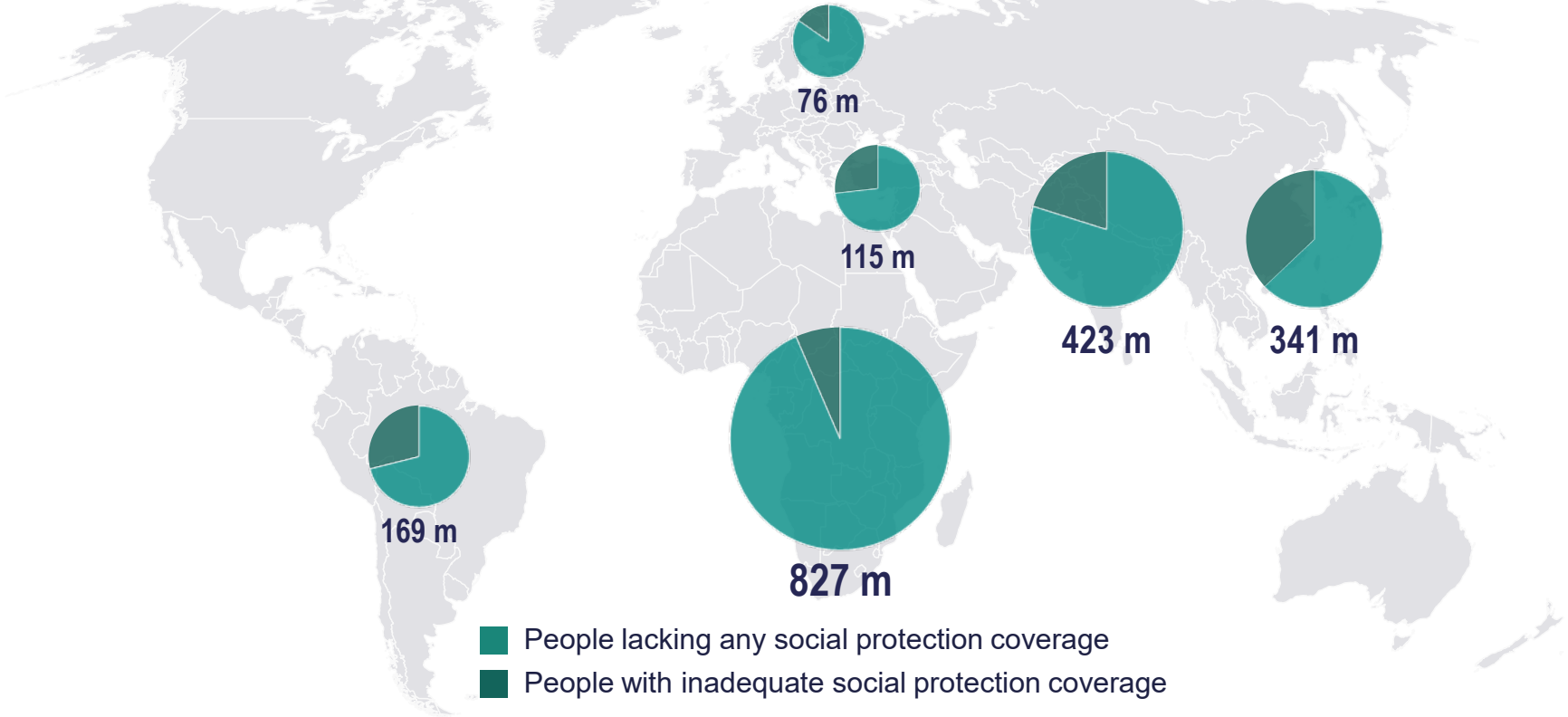
Social insurance contributors
1.0 billion people

Inadequately covered
0.4 billion people

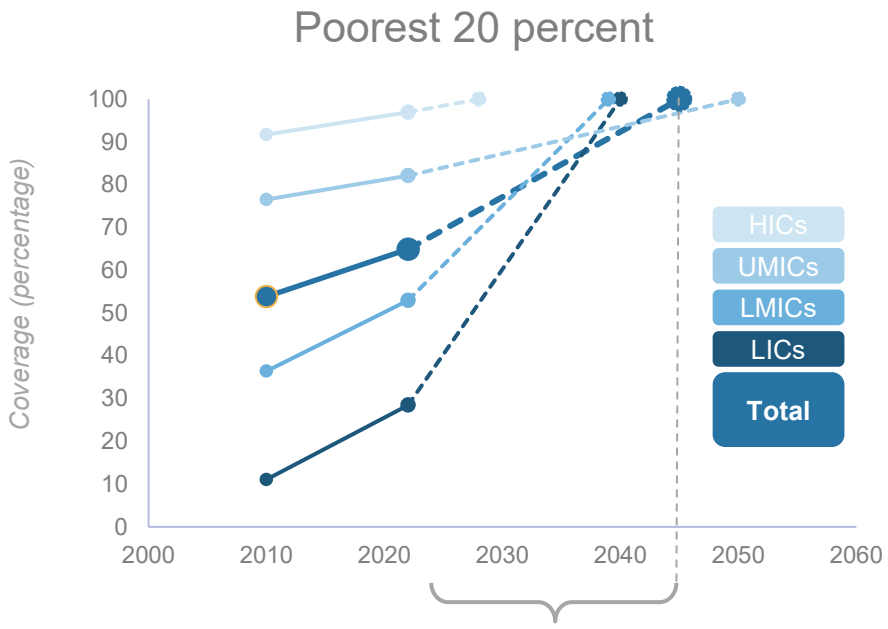
Missed
1.6 billion people

2
billion
person gap

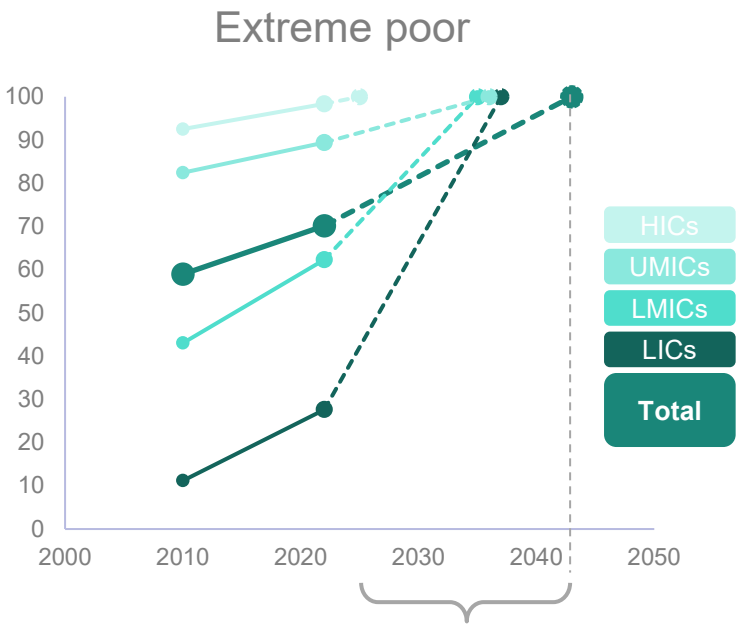
Coverage gaps remain substantial across the world



At current growth rates, it will take another 20 years to cover the poor



20 years
to cover the poorest 20 percent

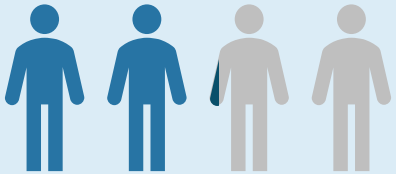


18 years
to cover the extreme poor

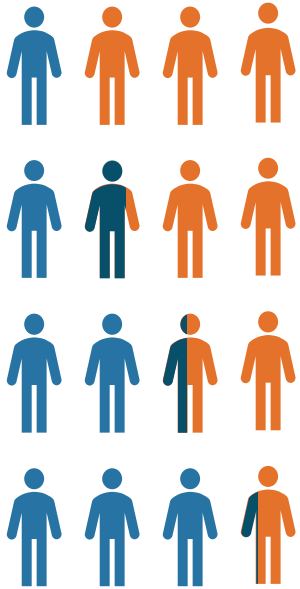
Four Policy Action Areas

1. Extend Social Protection to Those in Need

Social protection is at its lowest where it is needed most: among the poorest households in poorer countries



On average **51% percent** of people are covered by social protection systems*

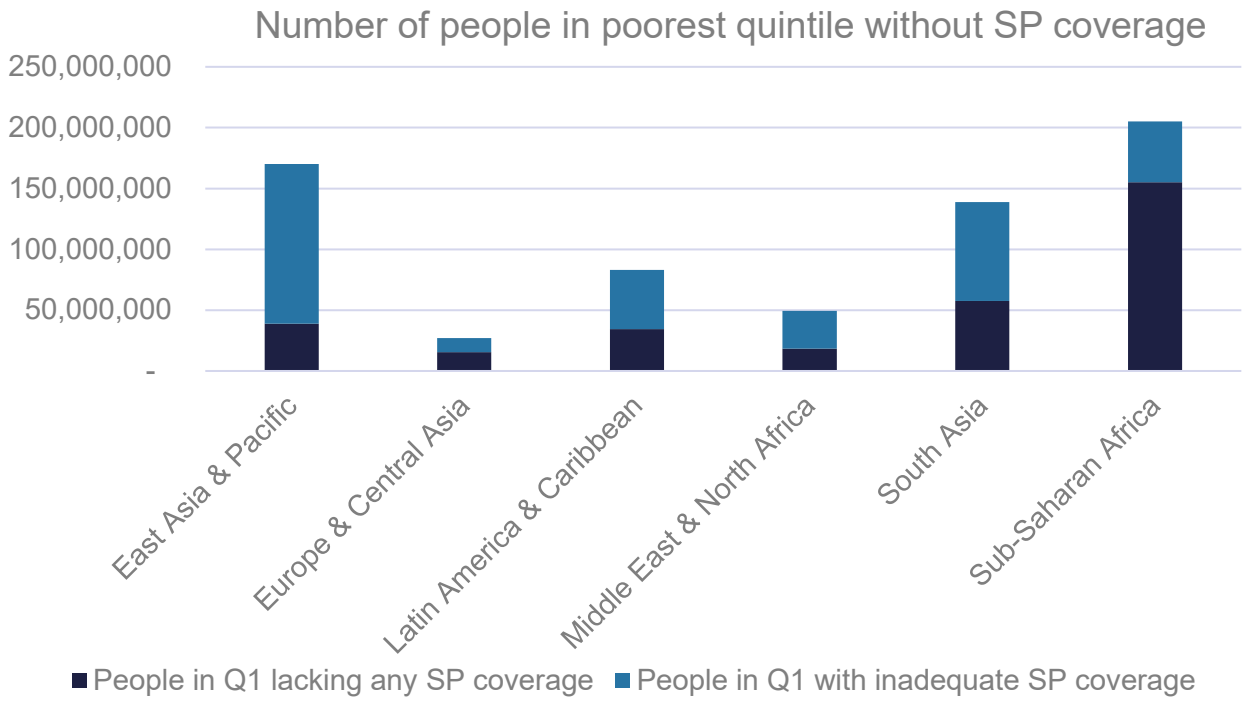


* Average across countries; ** Based on 6 high income countries monitored by ASPIRE.

Social protection is at its lowest where it is needed most: among the poorest households in poorer countries

673 million

people in the lowest quintile – those most in need – lack any or sufficient social protection coverage



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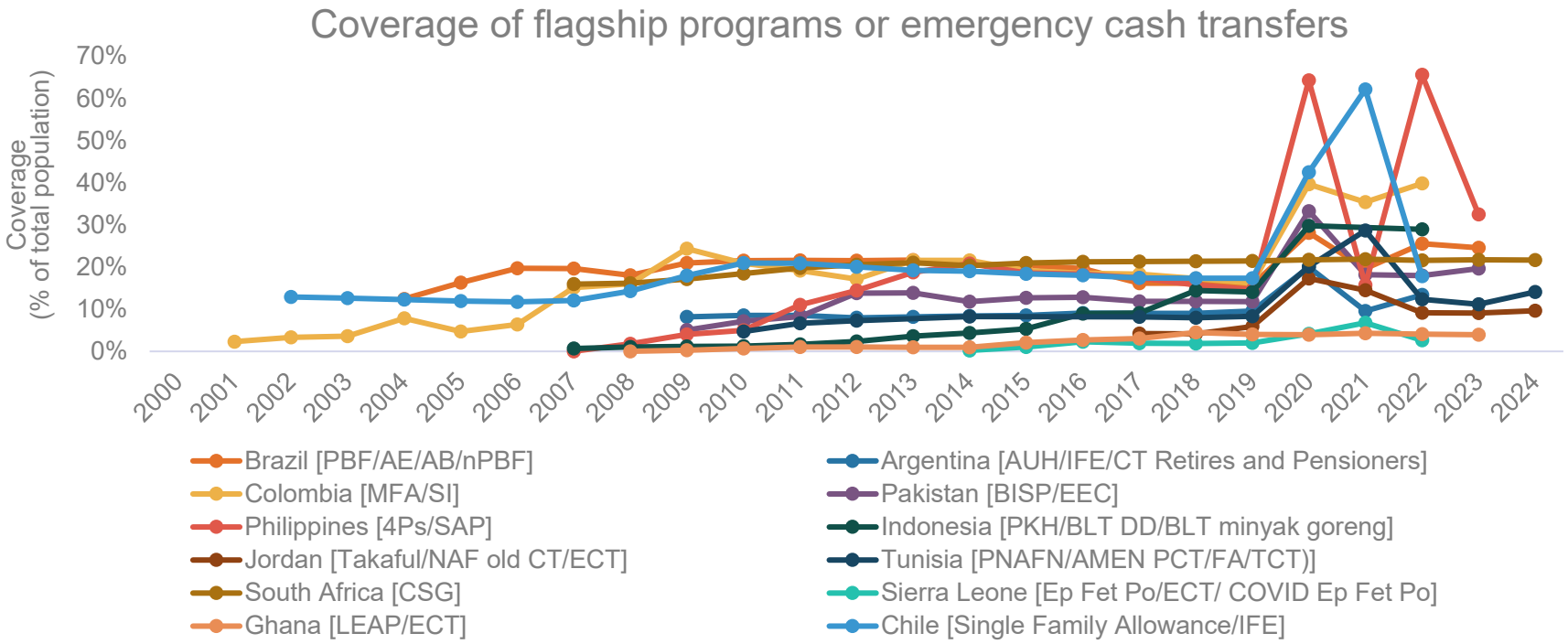
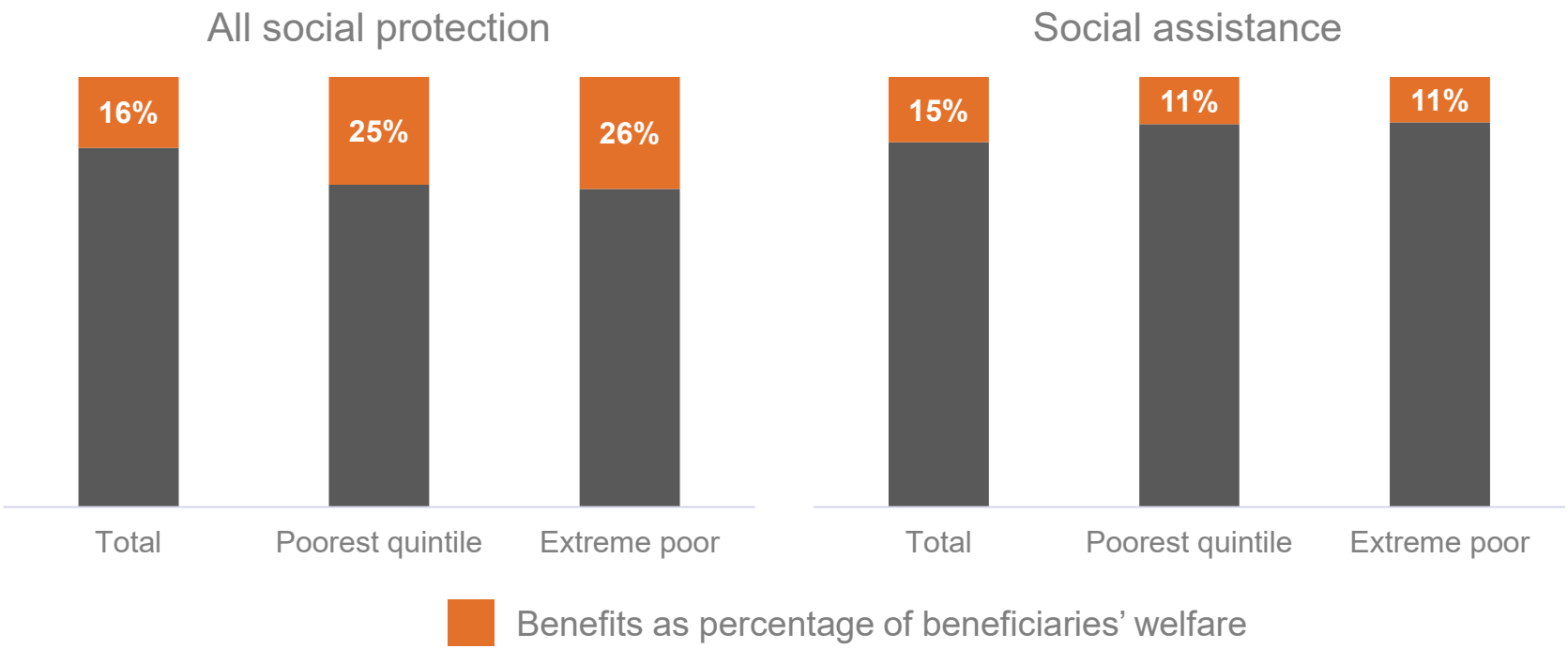
Continuous progress hinges on long-term investment in delivery systems



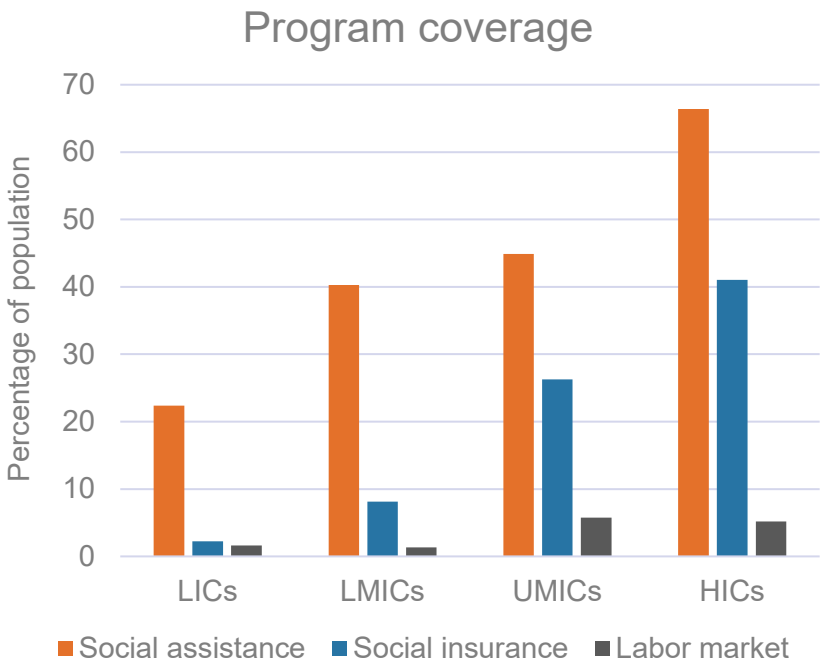
Four Policy Action Areas

2. Expand the support people receive

The level of social protection benefits remains low, especially for the poor in low-income countries



Strengthening the employment and social insurance pillars to better address people's needs

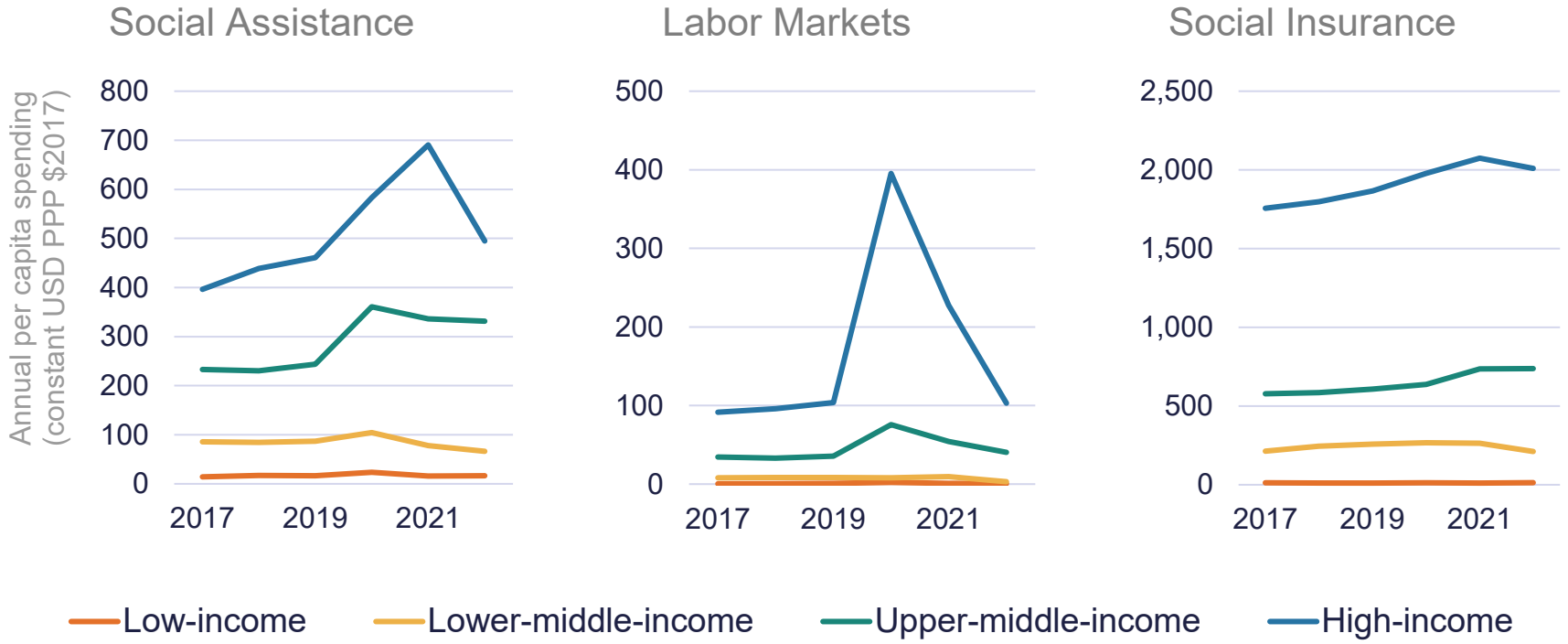


- The reach of labor and employment programs (including Economic Inclusion) should be improved
- Social insurance should be expanded to cover the many people who can contribute
- Integration across SP pillars will be essential

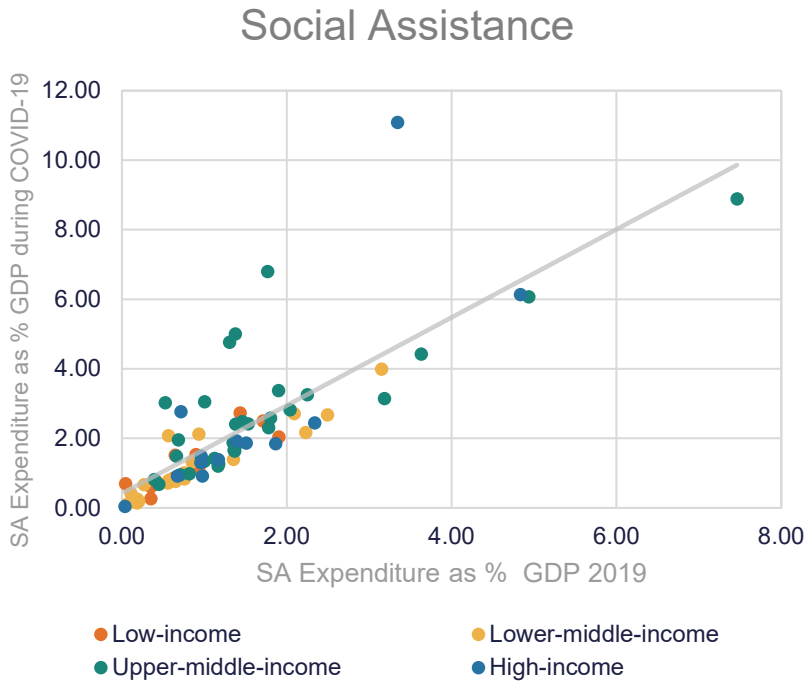
Four Policy Action Areas

3. Make social protection more responsive to shocks and crises

A comprehensive social protection system supports greater resilience: During COVID, countries expanded the programs they had



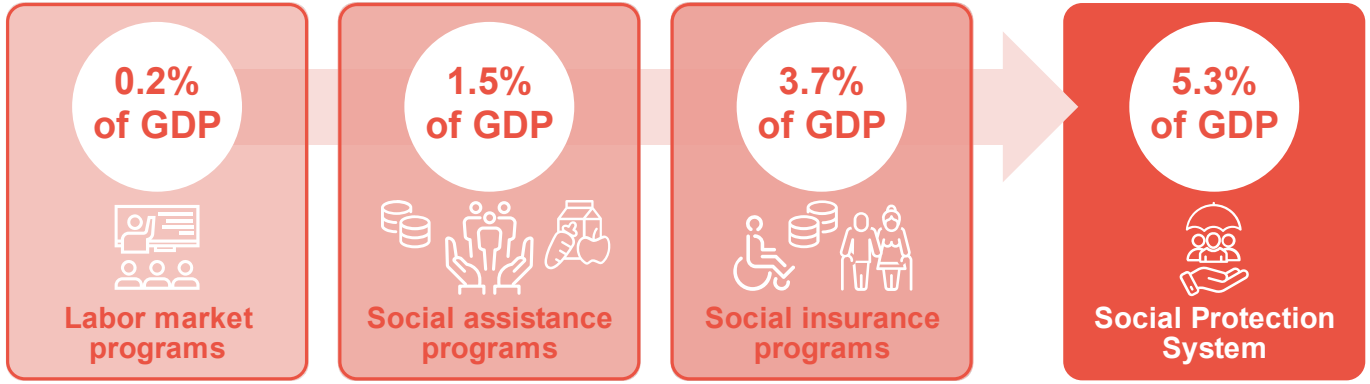
The importance of investing in delivery systems: Countries with larger pre-COVID systems were better able to expand



Four Policy Action Areas

4. Optimize Social Protection Financing

Expanding social protection will require increasing the financing envelop, especially in LICs and for labor market/employment programs

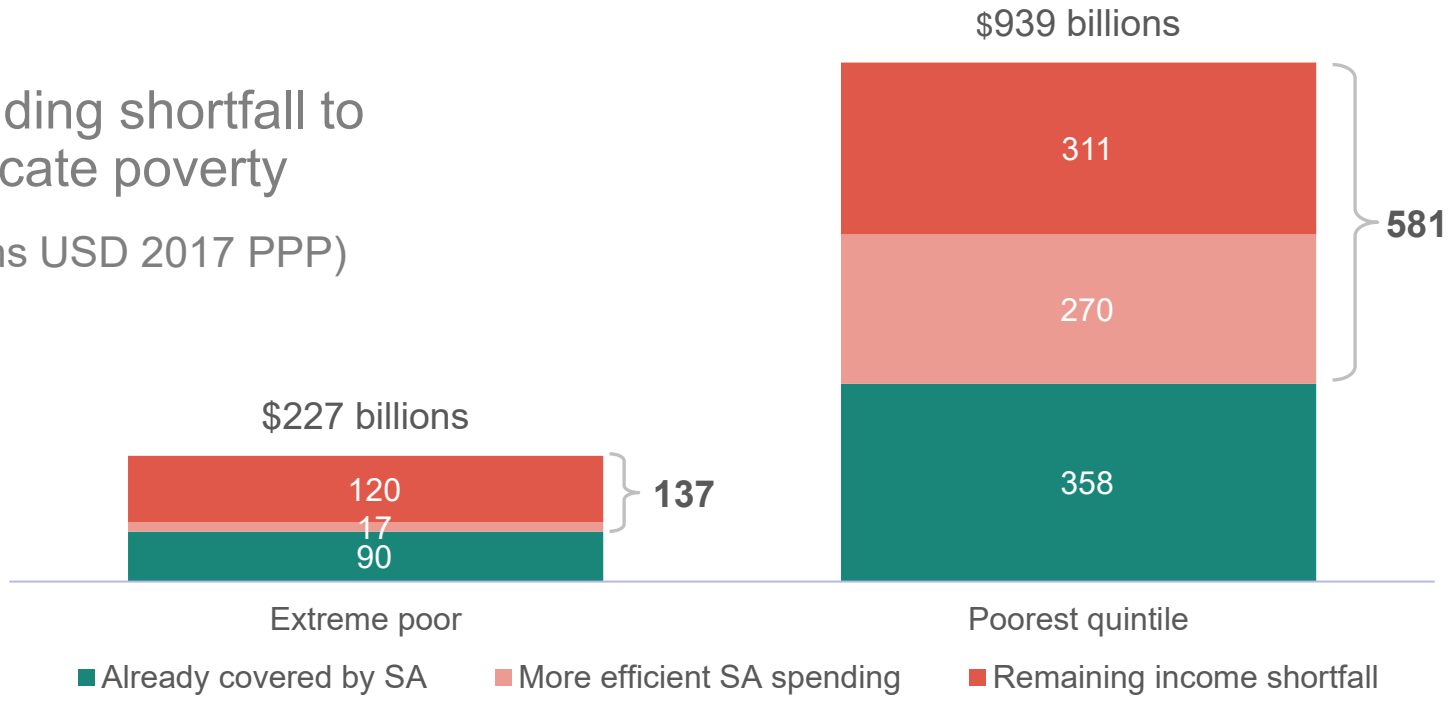


	Labor market programs	Social assistance programs	Social insurance programs	Social Protection System
Low income countries	0.03%	0.8%	0.7%	1.6%
Lower-middle income countries	0.05%	1.0%	2.7%	3.7%
Upper-middle income countries	0.23%	2.0%	4.1%	6.4%
High income countries	0.33%	1.7%	6.2%	8.3%

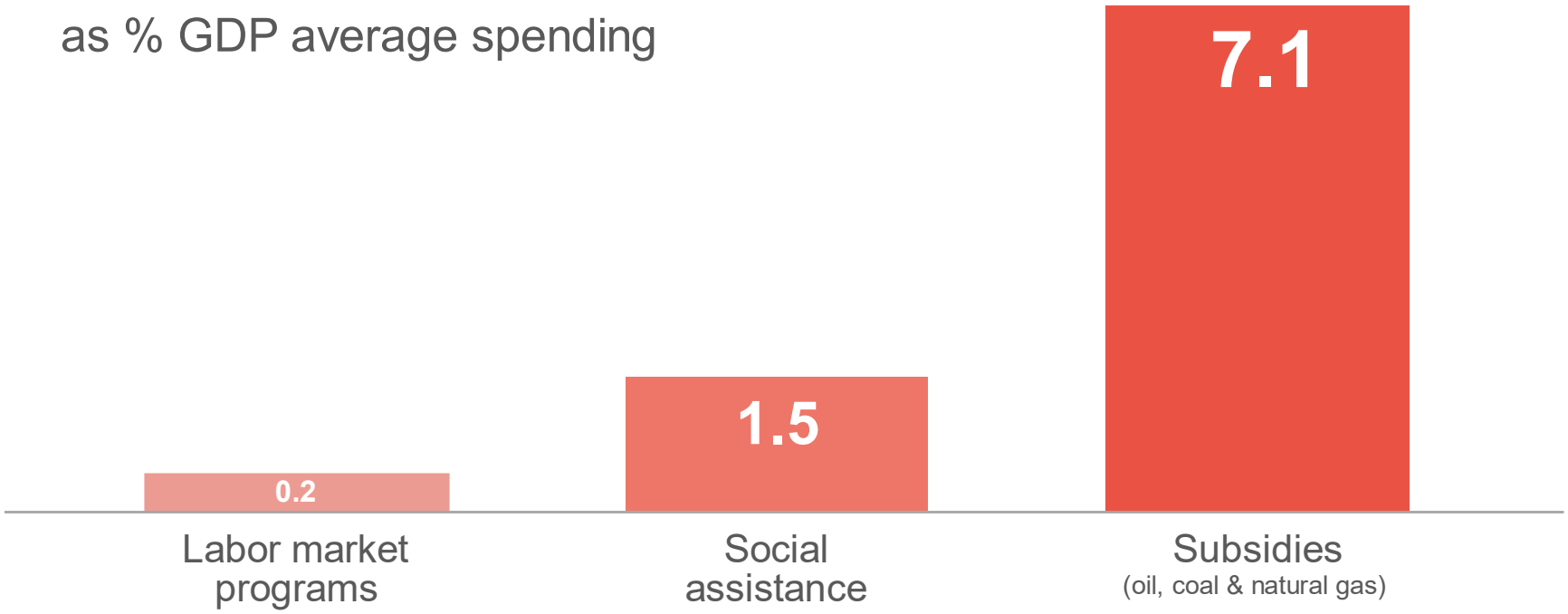
However, redirecting spending towards the poor could fill almost half of the financing needs to eradicate poverty

Spending shortfall to eradicate poverty

(Billions USD 2017 PPP)



Expanding contributory programs and repurposing regressive subsidies would also help closing the financing gap



Our Commitment

The World Bank Social Protection Targets

The World Bank social protection targets

Scaling up social protection programs, working alongside partners, to reach **500 million** poor and vulnerable people, of whom **250 million** are women, by 2030.

What do we plan to deliver?

Reaching more people, more efficiently, with services tailored to their needs

3 Layered programs

- Build **crisis preparedness** and **resiliency**
- Create **opportunity** for better jobs for the poor, with a focus on women and youth

2 Digitalized delivery

- Improve **transparency, efficiency** and **responsiveness** of support
- Improve financial and digital **inclusion** for all, including women and youth

1 Foundational systems

Strengthen delivery systems (social registries, payments, case management) to expand **access** to social protection

Thank you